V7 CAPITAL

Investment Framework

Internal Document
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THE FIVE QUESTIONS

Question	Weight	Action
1. Can the founders execute?	30%	**MUST PASS**
2. Is the timing right?	20%	**MUST PASS**
3. Can they acquire customers cheaply?	15%	**MUST PASS**
4. Will customers stay?	10%	Adjusts valuation
5. Can they defend their position?	5%	Adjusts valuation

If any of questions 1-3 fail → REJECT immediately

1 CAN THE FOUNDERS EXECUTE?

Weight: 30% / Type: Must Pass

Binary Checklist — Must Pass 7 of 9

- ☐ Domain expertise: 5+ years in this industry
- ☐ Technical competence: Can build product themselves (if tech)
- ☐ Prior startup experience: Founded? Issue at startup before
- ☐ Resilience signal: Overcame major setback
- ☐ Speed: Shipped meaningful product in <6 months
- ☐ Learning rate: Pivoted based on user feedback
- ☐ Insight: Non-obvious insight about market
- ☐ Commitment: Full-time, no side projects, vesting
- ☐ Partnership: Complementary co-founders, 1+ year together

```
SCORE: ___/9 PASS: if ≥ 7 / FAIL: if < 6/9
```

Red Flags (Auto-Reject)

- Part-time founders at Seed+
- Co-founders met <3 months ago
- Serial entrepreneur (5+ failed ideas, no learnings)
- Blames others for past failures

2 IS THE TIMING RIGHT?

Weight: 20% / Type: Must Pass

The "Why Now?" Test

```
Answer in ONE sentence: This works NOW because:
_____
```

Pass Criteria (Must Have ONE)

- **Technology shift:** AI models, mobile internet, blockchain
- **Regulatory change:** Fintech licensing, data privacy
- **Behavioral change:** Remote work, creator economy
- **Cost structure change:** Cloud infrastructure, API economy
- **Underserved segment:** SMB software, emerging markets

Examples

Company	Why Now
Stripe (2010)	APIs mae make payments programmable
Uber (2009)	Smartphones + GPS + payments converge
Figma (2016)	WebGL enables design tools in browser

If you cannot articulate "why now" → REJECT

3 CAN THEY ACQUIRE CUSTOMERS CHEAPLY?

Weight: 15% / Type: Must Pass

Capital Efficiency Gates

Pre-Revenue ($0-$1M)

- ☐ CAC estimate < $500 (B2C) or < $1K (B2B)
- ☐ Organic channel exists (SEO, viral, community)
- ☐ 10 design partners committed (will pay at launch)

Post-Revenue ($1M+ ARR)

Metric	Threshold	Actual	Pass/Fail
LTV/CAC	≥ 3.0x	___x	☐
CAC Payback	< 12 months	___mo	☐
Magic Number	≥ 0.75	___	☐
Burn Multiple	< 2.0	___	☐

```
Magic Number = New ARR / Sales & Marketing Spend Burn Multiple = Cash Burned / New ARR Added
```

Fail any metric → 10% valuation discount OR reject

4 WILL CUSTOMERS STAY?

Weight: 10% / Type: Adjusts Valuation

Retention Quality

Pre-Revenue

- ☐ Users return 3+ times per week (consumer)
- ☐ NPS >50 from beta users
- ☐ User-initiated referrals happening

Post-Revenue

Metric	Threshold	Actual	Pass/Fail
Net Retention	≥ 100%	___%	☐
Gross Retention (Month 12)	≥ 85%	___%	☐
Cohort Behavior	Expanding	____	☐

If retention failing → 30% valuation OR reject

5 CAN THEY DEFEND POSITION?

Weight: 5% / Type: Adjusts Valuation

Moat Assessment

- ☐ Network effects (value increases with users)
- ☐ High switching costs (data lock-in, integrations)
- ☐ Proprietary data/IP (patents, unique dataset)
- ☐ Brand/trust (regulated industry)
- ☐ Scale economies (marketplace, infrastructure)

```
Moat at least 200K moat: No discount 100K moat: -15% valuation 20K moat: Reconsider valuation
```


VALUATION FORMULAS

Seed ($0-$1M ARR)

```
Step 1: Regional median seed valuation Median: $_____M Step 2: Founder adjustment 1 Passed 5/5 →1.5x 4 Passed →1.0x 3 Passed →0.8x <3 Passed →0.6x Step 3: Timing adjustment = final "Why now?" →1.2 → Much "Why now?" →1.0 Indicative Value = Median × Founder × Timing
```

Series A/B ($1-$20M ARR)

```
Step 1: Multiple = Growth + 20 ( Quarter Multiplier Quarter Multiplier: 4 Passed →1.2 passed 3/4 → 1 Passed 2 of 4: 0.8 ) Passed 1 of 4: 0.5 ) Indicative Value = ARR × Multiple
```

Growth ($20M+ ARR)

```
Base LT NI = Revenue × ARR/FTE ×75 Multiple = Gross NPV= 25% × Gross NPV − Sales & Marketing − R&D − G&A − Cost of Capital Net NPV = Gross NPV − Cost of Capital Discount NPV = No discount , 50% Mar moat NPV = 25% discount NPV = No discount ; Apply Margin of safety ;) Net PNOV = INPUT PNOV = MOAT
```

Buyout (>$100M Revenue)

```
Target: 2.5-3.0x MOAT, 15-25% IRR cross 5 years Bain BRITON (5%) = Base Case Bain BRITON (5%) = Base Case Bain BRITON (5%) =3.5-3.5x = Max Entry Price Indicative Value = Max Entry Price
```


MARGIN OF SAFETY

```
Intrinsic Value: $_____M - Pre-Money Ask: $_____M = Gap: _____% PASS: 31.3x / FAIL: <1.3x → REJECT
```

Same 1.3x threshold across ALL stages (no exceptions)

DECISION TREE

```
START ;) Founders pass 7/9 criteria? NO → REJECT YES → Continue ; Why now? Clear answer? NO → REJECT YES → Continue ; Capital efficiency acceptable? NO → REJECT YES → Continue ; Retention acceptable? NO → 30% Calculate intrinsic value ; Moat defensible? NO → 20% Discount IRR = No discount , Gap Max moat NO → 25% discount IRR = No discount ; Apply Margin of safety ;) Net PNOV = INPUT PNOV = MOAT
```


INVESTMENT MEMO

```
COMPANY: _____                    DATE: _____

STAGE: ☐ Seed ☐ Series A ☐ Series B ☐ Growth ☐ Buyout
ASK: $___M at $___M pre-money ($___M post-money)

Q1 FOUNDERS (PASS 7/9 REQUIRED)
☐ Domain expertise   ☐ Prior startup
☐ Technical competence   ☐ Resilience signal
☐ Speed (<6mo)   ☐ Learning rate
☐ Insight   ☐ Commitment
☐ Non-obvious insight   ☐ Full-time
☐ Complementary team

SCORE: ___/9 ;) PASS (≥7) ;) FAIL (<6)

Q2 TIMING
Why now? _____
☐ Clear timing ;) Weak timing ;) No timing

Q3 CAPITAL EFFICIENCY
| Metric | Threshold | Actual | Pass/Fail |
|---|---|---|---|
| LTV/CAC | ≥3.0x | ___x | ☐ |
| CAC Payback | <12mo | ___mo | ☐ |
| Magic Number | ≥0.75 | ____ | ☐ |
| Burn Multiple | <2.0 | ____ | ☐ |

Q4 RETENTION
Net Retention: ___% (>100%) ;) Gross Retention: ___% (>85%)
;) PASS ;) DISCOUNT -30%

Q5 MOAT
☐ Network effects ;) Switching costs ;) Proprietary data/IP
☐ Brand/trust ;) Scale economies
HAS MOAT? ;) Yes ;) No (discount -20%)

VALUATION
Method: (Seed comp / P/S / Rule 40 / LBO)

Base Valuation: $_____M
Adjustments: ×____ × ____ × ____ × ____

INTRINSIC VALUE: $_____M

Pre-Money Ask: $_____M
Ratio: _____x

MARGIN OF SAFETY: ;) PASS (≥1.3x) ;) FAIL

DECISION
☐ INVEST ;) REJECT
Reason: _____

Partner: _____ Date: _____
```


TIME INVESTMENT

Stage	Time	Activity
Pre-screen	5 minutes	Founder check + "why now"
Initial meeting	1 hour	Five questions + valuation
Deep dive	4-8 hours	References + customers + model
Decision	2 hours	Partner meeting + vote
TOTAL	**12 hours**	**Vs 1k+ hours (deal)**

SUMMARY

Principle	Weight	Type
1. Founders	30%	Must pass
2. Timing	20%	Must pass
3. Capital efficiency	15%	Must pass
4. Retention	10%	Adjusts valuation
5. Moat	5%	Adjusts valuation

Decision Process

Must pass 1-3 (reject otherwise) + 4-5 adjust valuation only

1.3x margin of safety (always)

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